Foreign Institutional Investor (FII/FPI) Flows in India

An Analysis of Trends, Regulatory Framework & Sectoral Impact

EXECUTIVE SUMMARY

This report analyses the flow of Foreign Portfolio Investor (FPI) money into and out of India's financial markets, focusing on 2024 to early 2026. FPIs — earlier called Foreign Institutional Investors (FIIs) — are large international investors such as mutual funds, pension funds, insurance companies, and sovereign wealth funds that invest in a country's stock and bond markets without taking management control of companies.

India witnessed a dramatic reversal in FPI behaviour during 2025-26. FPIs pulled out a record amount — more than Rs. 2 lakh crore (approximately $24 billion) — from Indian equities in just the first four months of 2026, exceeding the entire outflow recorded in all of 2025. The Banking, Financial Services & Insurance (BFSI) and IT sectors bore the brunt of this exit.

Despite these outflows, Indian domestic investors — particularly through Systematic Investment Plans (SIPs) — provided a strong counterbalance, preventing a market collapse. This report examines causes, regulatory responses, sector impact, and what decision-makers should watch for going forward. A three-scenario framework (Base / Bull / Bear) with triggers and timelines is included to guide readers in interpreting future FPI data as it unfolds.

INTRODUCTION

When a foreign investor buys shares or bonds of an Indian company without becoming its owner or manager, that investment is called Foreign Portfolio Investment (FPI). Until 2014, SEBI used the term Foreign Institutional Investor (FII). Both terms refer to the same category of cross-border investor and are used interchangeably in this report.

FPI money matters because it directly affects buying and selling pressure in India's stock markets (NSE and BSE). When FPIs buy Indian stocks, share prices generally rise. When they sell, prices fall. At their peak, foreign investors held nearly 20% of all listed Indian stocks by value — today that stands at a 14-year low of 14.7%.

The legal backbone for FPI activity in India is the SEBI (Foreign Portfolio Investors) Regulations, 2019, which lays down who can register, what they can invest in, and what rules they must follow. All FPIs register through a Designated Depository Participant (DDP) — a SEBI-approved bank or depository institution. NSDL (National Securities Depository Limited) publishes sector-wise FPI investment data every fortnight, which forms the primary data source for this report alongside the RBI Annual Report 2024-25.

RECENT TRENDS & DATA

The table below summarises monthly net FPI investment in Indian equities from January 2025 to April 2026, drawn from NSDL data and RBI reports:

Period	Net FPI Flow (Rs. Crore)	Net FPI Flow (Approx. USD)
January 2025	– 78,027	– $9.2 bn

February 2025	– 34,574	– $4.1 bn
March 2025	– 3,973	– $0.5 bn
April 2025	+ 4,223	+ $0.5 bn
May 2025	+ 19,860	+ $2.4 bn
Full Year 2025	– 1,66,741 (est.)	– $19.5 bn (approx.)
January 2026	– 35,962	– $4.2 bn
February 2026	+ 22,615	+ $2.6 bn
March 2026	– 1,17,000	– $12.6 bn (record)
April 2026	– 60,847	– $7.1 bn
2026 YTD (Jan–Apr)	– 1,92,000+ (est.)	– $22.5 bn (est.)

Source: NSDL FPI Data, RBI Annual Report 2024-25, market reports cited herein.

Key observations: FY 2024-25 saw total net FPI equity outflows of approximately Rs. 1.66 lakh crore. The situation worsened sharply in early 2026. March 2026 recorded the single largest monthly outflow in India's FPI history at Rs. 1.17 lakh crore. By May 8, 2026, cumulative outflows for the calendar year had already crossed Rs. 2.1 lakh crore — the worst since FPI investing began in India in 1993. FPI ownership of listed Indian equities fell to a 14-year low of 14.7%, while domestic institutional ownership rose to 18.9%, marking a historic shift where Indian money now exceeds foreign ownership in India's listed markets.

CAUSES & CONTRADICTORY FACTORS

Why FPIs Have Been Selling

The sustained FPI outflows from India have been driven by a combination of global and domestic factors. The US Federal Reserve's policy of keeping interest rates elevated made US government bonds highly attractive. When American bonds offer 5%+ returns with near-zero risk, foreign investors naturally move money out of riskier emerging markets like India. This global trend affected all emerging markets, not just India.

The West Asia conflict that escalated sharply in late 2025 drove crude oil prices higher. Since India imports nearly 85% of its oil, higher crude prices hurt corporate profits, raise inflation, and weaken the Rupee. A weaker Rupee directly reduces FPIs' dollar-denominated returns — if an FPI earns 5% in Rupees but the Rupee falls 6% against the Dollar, they effectively lose money in dollar terms. The Rupee weakened from approximately Rs. 84 to Rs. 91-95 per dollar during this period.

Rising US tariffs under the new American administration in 2025-26 created uncertainty across global markets. Goldman Sachs reduced its India GDP growth forecast for 2026 to 5.9%, while inflation projections were revised upward to 4.5-4.6% — a combination that makes investors cautious. Indian stock valuations, while corrected from peaks, remained higher than most comparable emerging markets, and China's government-led equity revival pulled some global money away from India.

Contradictory Factors — Why India Still Attracted Some Flows

Despite heavy selling, India received a brief inflow of Rs. 22,615 crore in February 2026 — the highest single-month inflow in 17 months — after the RBI cut interest rates. India's strong macroeconomic fundamentals, growing middle class, and infrastructure investment continue to attract long-term strategic investors even when short-term traders exit. Domestic mutual fund SIP inflows provided a floor under the market, absorbing FPI selling pressure without a systemic collapse.

IMPACT ANALYSIS ON SECTORS

NSDL's fortnightly sector-wise FPI data reveals that selling has not been uniform. The table below shows net FPI investment trends across key sectors for 2025-26:

Sector	FPI Flow Trend	Reason	Market Impact
BFSI	Heavy Outflows (51.5% of Mar '26 exits)	Large liquid stocks; FPIs exit first from heavily-owned sectors	Banks –8–12%
IT	– Rs. 27,945 Cr (worst in 2025)	US demand slowdown, AI disruption, tariff fears	IT index –15%
Telecom	+ Rs. 13,352 Cr (best in 2025)	5G rollout, domestic demand, pricing power	Outperformed
Capital Goods	Moderate Outflows	Rate sensitivity; profit-booking on infra rally	Corrected from highs
FMCG	Mild Inflows	Defensive; FPIs park here during uncertainty	Relative outperformer
Power	Small Inflows	Energy transition story remains attractive	Stable to positive
Healthcare	Moderate Outflows	Profit booking after strong FY25 rally	Mild correction
Oil & Gas	Moderate Outflows	Crude volatility; govt. pricing controls	Mixed

Source: NSDL Fortnightly Sector-wise FPI Data, Finnovate Research, Wright Research (2025-26).

During recovery phases after Nifty corrections, historically, fresh FPI buying returns first to BFSI, then Capital Goods, Automobiles, Construction, and Chemicals — a useful sequence for anticipating where money returns when global sentiment shifts.

POLICY MEASURES & GOVERNMENT RESPONSE

SEBI's Regulatory Actions

SEBI's FPI Regulations 2019 form the foundation of India's FPI policy. Recognising that compliance burdens were deterring foreign investors, SEBI implemented several ease-of-doing-business reforms. The granular disclosure threshold was doubled from Rs. 25,000 crore to Rs. 50,000 crore in equity AUM, exempting the vast majority of FPIs from complex beneficial ownership reports. The Common Application Form (CAF) was consolidated, integrating PAN issuance and KYC verification into a single digital process.

The SWAGAT-FI (Single Window Automatic and Generalised Access for Trusted Foreign Investor) framework, introduced in the 2025 amendments, is a landmark step. Sovereign Wealth Funds, government-related investors, and qualifying public retail funds under SWAGAT-FI enjoy streamlined registration and a special 10-year registration fee block compared to 3 years for others. Registration fees were rationalised to US$ 2,500 (Category I) and US$ 250 (Category II) per 3-year block.

FPIs failing to renew are now given 360 days to wind up their Indian positions rather than facing immediate legal action — a practical relief that reduces forced selling. Regulation 24A mandates that disputes between FPIs and Designated Depository Participants be resolved through mediation, conciliation, or arbitration, reducing litigation risk.

RBI & Government Measures

The RBI cut the repo rate in early 2026, temporarily boosting FPI inflows in February 2026. The RBI also actively managed the Rupee through its foreign exchange reserves — highlighted in the RBI Annual Report 2024-25 — providing confidence that India can defend its currency if needed. The Union Budget 2025-26 continued to increase capital expenditure in infrastructure, maintaining long-term FPI interest in capital goods, construction, and power sectors.

RISKS & CHALLENGES

Rupee depreciation is the most immediate and visible risk. FPIs invest in dollars and repatriate in dollars. When the Rupee weakens, even positive stock market returns can translate into dollar losses — the Rupee's slide from Rs. 84 to Rs. 91-95 per dollar during the West Asia conflict period directly accelerated selling. India's market valuations, while corrected from peaks, still remain higher than most comparable emerging markets, limiting the valuation upside needed to attract value-focused foreign funds.

Concentrated FPI ownership in large-cap BFSI stocks creates a self-reinforcing risk: when FPIs sell, stock prices fall, triggering further sales by other FPIs operating on stop-loss mandates. Regulatory compliance, while simplified, still requires ongoing KYC, beneficial ownership disclosures above threshold, investor group clubbing of limits, and FATF anti-money laundering standards compliance — costs that remain disproportionate for smaller foreign funds. Global macro factors — US Fed policy, dollar strength, crude oil prices, and geopolitical events — remain outside India's control but directly drive FPI flows, creating an irreducible structural vulnerability.

CONCLUSION & SCENARIO FRAMEWORK: Base, Bull & Bear Cases

Rather than a single point-forecast, this section frames India's FPI outlook for H2 2026 and FY 2027 through three distinct scenarios. Each scenario has a defined set of triggers that make it likely, an expected timeline, a projected FPI flow impact, and the key risk that could invalidate it. Readers and policymakers can use this framework to track live data against each scenario as events unfold.

Scenario	Label	Probability (est.)	FPI Flow Projection (H2 2026)	Market Outcome
BASE CASE	Gradual Recovery	50%	Net outflows reduce to Rs. 20,000–40,000 Cr; partial reversal	Nifty stabilises; modest gains
BULL CASE	Strong Reversal	25%	Net inflows of Rs. 60,000–80,000 Cr; 2026 outflows partially reversed	Nifty rally of 10–15%
BEAR CASE	Continued Exit	25%	Further outflows of Rs. 50,000–70,000 Cr; FPI ownership drops below 13%	Nifty correction of 8–12%

Base Case — Gradual Recovery (Probability: ~50%)

The base case assumes that global conditions improve slowly but without a dramatic catalyst. The US Federal Reserve delivers one or two rate cuts by Q3 2026, not enough to trigger a flood of emerging market inflows but sufficient to reduce the attractiveness gap between US bonds and Indian equities. Crude oil prices stabilise in the $80-90/barrel range as West Asia tensions plateau. India's corporate earnings show modest improvement in Q1 FY27, driven by rural consumption recovery and government infrastructure spending.

Element	Detail
Triggers	US Fed cuts rates by 25-50 bps by Sep 2026; crude below $90; RBI holds rates steady; Q1 FY27 earnings in line with estimates
Timeline	Outflow intensity slows from Jun 2026; net flows turn neutral by Sep 2026; small inflows by Dec 2026
Sectors That Benefit First	BFSI (once Rupee stabilises), Telecom, Power — sectors where FPIs were already selectively buying
Key Risk	Any resurgence in West Asia conflict or a US inflation surprise that delays Fed rate cuts will invalidate this scenario
Decision Signal	Watch NSDL fortnightly data for two consecutive fortnights of net inflows in BFSI — that is the earliest confirmation signal

Bull Case — Strong Reversal (Probability: ~25%)

The bull case requires a fast-moving, multi-factor improvement. The US Fed delivers 3+ rate cuts, the Dollar Index falls meaningfully, the West Asia conflict de-escalates with a ceasefire, and crude drops below $75/barrel. In this environment, global fund managers reallocate to emerging markets and India — with its structural growth story, SWAGAT-FI framework, and improving earnings visibility — becomes a top-three destination. The Rupee strengthens back toward Rs. 83-85/dollar, directly improving FPI dollar returns and incentivising re-entry.

Element	Detail
Triggers	US Fed cuts 75-100 bps in H2 2026; Dollar Index falls below 100; West Asia ceasefire; crude below $75; India GDP upgraded to 6.5%+
Timeline	Inflows begin in Jul-Aug 2026 as global funds rebalance; FPI turns net buyer for full Q3 FY27; Rs. 60,000-80,000 Cr net inflows in H2 2026
Sectors That Benefit First	BFSI leads (most underowned vs. history), followed by IT (US tech spend recovery), then Automobiles and Capital Goods
Key Risk	India-specific shock — a domestic political event, a major banking NPA disclosure, or a sudden Rupee depreciation event — could interrupt this even if global conditions are favourable
Decision Signal	Watch: Dollar Index falling below 102 AND NSDL showing FPI net buying in BFSI above Rs. 5,000 Cr in a single fortnight — two consecutive such fortnights confirm the bull scenario is playing out

Bear Case — Continued Exit (Probability: ~25%)

The bear case materialises if the global macro environment deteriorates further or a new shock emerges. If the West Asia conflict escalates into a broader regional war, crude prices could spike above $110/barrel

— delivering a severe double blow to India through higher inflation and Rupee weakness. Alternatively, if US inflation re-accelerates and the Fed actually raises rates again, the Dollar strengthens further and the case for holding Indian equities becomes even weaker. A third trigger specific to India would be a significant slowdown in domestic earnings, particularly in BFSI, which would challenge the valuation argument that has kept some long-term FPIs invested.

Element	Detail
Triggers	Crude above $110; US Fed rate hike OR pause beyond Dec 2026; Dollar Index above 112; India CPI above 5.5%; Rupee weakens to Rs. 100+
Timeline	Outflows continue through all of H2 2026; FPI equity ownership falls below 13%; cumulative 2026 outflows may reach Rs. 2.5-3 lakh crore
Sectors Hit Hardest	BFSI (forced selling of large liquid positions), IT (earnings downgrade risk), Metals & Mining (global slowdown), Consumer Services
Key Risk	The saving grace is domestic institutional investors — DIIs and retail SIP flows — which are now structurally large enough to absorb FPI selling without a market collapse, unlike in 2008 or 2013
Decision Signal	Watch: Crude prices breaching $100 AND Rupee crossing Rs. 97/dollar in the same week — that combination is the early-warning signal that the bear case is becoming the base case

The three-scenario framework above is designed as a live monitoring tool. The key insight for any reader following FPI data in real time is this: the triggers are observable, the signals are measurable, and the sector rotation sequence is historically consistent. Scenarios do not need to be predicted — they need to be recognised quickly when they begin playing out.

RECOMMENDATIONS

India should actively market SWAGAT-FI to large sovereign wealth funds and pension funds from the Gulf, Europe, and Japan. These long-horizon investors are less sensitive to short-term volatility and would stabilise FPI flows. SEBI and IFSCA have created enabling frameworks; the gap lies in outreach and relationship management.

Expanding the Voluntary Retention Route (VRR) for debt investments with tax incentives for longer-tenure commitments would attract more stable capital and reduce hot-money flows. India should also work towards reducing Rupee hedging costs for FPIs by developing a more liquid onshore Rupee derivatives market — when hedging costs are high, FPIs' net dollar returns compress significantly, discouraging entry.

SEBI should consider simplifying the investor group clubbing rules for large diversified global asset managers where multiple funds technically share 'common control' but operate with fully independent investment mandates. The current rule discourages large global fund houses from registering multiple India-focused funds. Finally, a dedicated publicly accessible real-time dashboard aggregating NSDL and CDSL sector-wise data — an 'India FPI Observatory' — would improve market transparency and help regulators identify emerging stress points before they escalate.

METHODOLOGY & ASSUMPTIONS

This report was prepared using primary document analysis and secondary data compilation. Primary sources include the RBI Annual Report 2024-25, NSDL Fortnightly Sector-wise FPI Investment Data (last updated April 30, 2026), and the SEBI (FPI) Regulations 2019 with all amendments up to the Second Amendment Regulations 2025 (effective June 1, 2026). Secondary sources include research by JM Financial, Finnovate Research, Wright Research (April 2026), and market analysis from Business Standard — all citing NSDL and SEBI data.

Key assumptions: (1) FPI and FII are treated as synonymous per SEBI's 2014 definitional transition.

(2) 'Net flow' means gross purchases minus gross sales; a negative number indicates net selling

(3) NSDL sector data includes Sub-Account Mutual Funds and AIF segments from August 2024 onward.

(4) USD conversions use approximate exchange rates of Rs. 85-86 per USD for 2025 and Rs. 87-95 per USD for early 2026.

(5) Scenario probabilities are analytical estimates, not statistical models, and should be treated as directional rather than precise.

DISCLAIMER

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As per Regulation 24A of SEBI FPI Regulations 2019, disputes between FPIs and Designated Depository Participants must be resolved through SEBI-prescribed mediation, conciliation, or arbitration. Investors may also use SEBI's Online Dispute Resolution (ODR) portal for faster resolution of complaints against market intermediaries.